

This copy is for your personal, non-commercial use only. Distribution and use of this material are governed by our Subscriber Agreement and by copyright law. For non-personal use or to order multiple copies, please contact Dow Jones Reprints at 1-800-843-0008 or visit www.djreprints.com.

<https://www.wsj.com/articles/p-g-washout-may-run-another-cycle-1533050788>

HEARD ON THE STREET

Follow

P&G Washout May Run Another Cycle

The consumer-products giant is forecasting a rebound in growth, but there are many reasons to be skeptical

By Aaron Back

July 31, 2018 at 11:26 am ET



Procter & Gamble said Tuesday organic sales rose 1% in its latest quarter, less than the 2% that analysts were looking for. BRENDAN MCDERMID/REUTERS

Procter and Gamble, like its competitors, is getting squeezed by weak pricing and higher input costs. It has no clear way out.

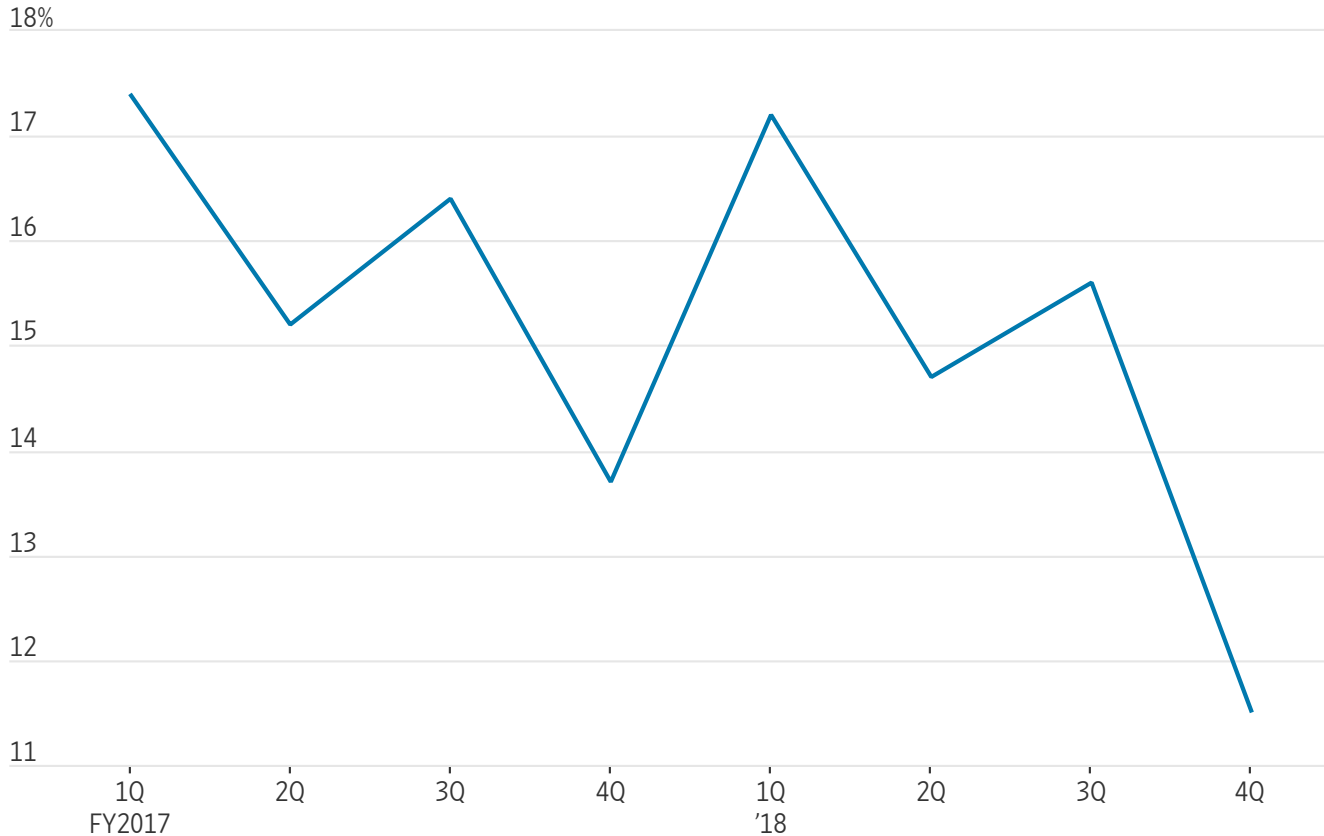
The maker of Gillette razors, Tide detergent and many other household and personal-care products is a bellwether for the consumer staples industry, which has been struggling. The rise of e-commerce has made it easier for consumers to compare prices between products and suppliers online. Retailers have responded by cutting

prices and inventories and pushing more private-label alternatives.

P&G PG 0.45% ▲ on Tuesday said organic sales, which strip out the effects of mergers and currency fluctuations, rose just 1% from a year earlier in the quarter through June, less than the 2% that analysts were looking for.

Close Shave

Procter & Gamble net earnings margin from continuing operations:



Note: Fiscal year ends in June

Source: S&P Capital IQ

The company pointed to strong growth in its beauty segment, on the strength of premium brands such as SK-II and Olay. Pricing in the beauty segment was also stable from a year earlier. But prices fell in every other category, including fabric and baby care.

Pricing in the grooming segment fell 3% from a year earlier, despite the fact that a big reduction in razor prices was more than a year before, showing competition remains

intense. Online rival Harry's, for instance, is now selling its razors in Walmart.

At the same time, higher input costs for paper and pulp, petrochemicals and freight are pressuring the bottom line. The company's net margin from continuing operations fell to 11.5%, down from 13.7% a year earlier. That is the lowest quarterly margin in six years, according to S&P Capital IQ.

P&G argues that it is turning a corner in pricing. Though many of the company's products are positioned at the high end of their categories, several price "interventions" over the past year have gotten them within reasonable range of their competitors, Chief Executive David Taylor said on a conference call.

The company also announced it will push through a 4% price increase for Pampers and a 5% increase for Bounty paper towels and Charmin toilet paper in response to higher raw material costs. But analysts were skeptical the company can make these increases stick in such a competitive environment. In toothpaste, for example, P&G already had to reverse a price increase initiated last year.

The company forecast an acceleration in organic sales growth for the current fiscal year, which runs through June 2019, to 2% to 3%. This projection lacks credibility. The company initially projected 2% to 3% organic sales growth in the fiscal year through June 2018 yet delivered just 1%.

P&G shares are down 12% this year, and now trade at 18.2 times forward earnings, compared with 19.7 times over the past five years, according to FactSet. Despite this, the shares are no bargain until the company shows pricing and sales are firming up.

Write to Aaron Back at aaron.back@wsj.com

Aaron Back is editor of Heard on the Street at The Wall Street Journal. Aaron began writing for the Heard column in Hong Kong in 2013, covering the region's major economies along with its financial and technology companies. Major themes of his coverage included Japan's economic transformation under Shinzo Abe, China's market crisis in 2015,...

Follow

